

both individual financial health and the real estate market,” he says. Besides, there are some anomalies that need urgent attention. For example, says Gupta, the reclassification of Bengaluru as a metro city to align house rent allowance deductions with other major cities. The current non-metro classification limits HRA deductions to 40%, compared to 50% available in metros.

Affordable housing is a priority for the new government, as was evident from its decision to assist in the construction of houses for an additional 30 million rural and urban households under its flagship Pradhan Mantri Awas Yojana (PMAY). This decision was taken at the very first meeting of the Union Cabinet on June 10.

After the pandemic, there has been a spike in demand for residential homes in metros and Tier II and III cities. Hence, experts expect deductions under Section 80EEA of the I-T Act to be extended up to March 31, 2029. It was set to expire this year.

“There might be enhancements or introductions in tax benefits similar to Section 80EEA, which offers a deduction of ₹1.5 lakh on home loan interest aimed at affordable housing. However, this new section should have an enhanced limit. Affordable housing no longer costs ₹45 lakh, and this revision is inevitable,” says Gupta.

Aarti Raote, Partner at Deloitte India, agrees that taxpayers can expect some relief, like simplified tax laws and the removal of processing hurdles. “Large-scale tax sops or added deductions may not be likely, but it is expected that the deduction under Section 80EEA will be extended,” she says.

Investors also expect favourable changes to capital gains tax under the old regime, including potential adjustments to thresholds or rates. “Currently, long-term capital gains



tax on equity is levied at the rate of 10% above ₹1 lakh, while LTCG on immovable property is taxed at 20% with indexation benefits. Aligning and reducing these rates could simplify and promote fairness in the tax system,” says a private sector employee who did not wish to be named.

ONE FORM TO RULE THEM ALL

The government may introduce a common Income Tax Return (ITR) form to simplify filing for individuals.

Prabhakar says in November 2022, the Central Board of Direct Taxes (CBDT) sought stakeholders' comments on the proposed common ITR by merging all existing ITRs, except the ITR-7 that is applicable to charitable trusts. “No doubt, this will make it easier to reconcile the constantly flowing terabyte size of data obtained from third parties, like banks, financial institutions, and other sources while processing the filed returns,” he says. But there has been no movement since. “Hopefully, the department will introduce it in the assessment year 2025-26.”

Elsewhere, the government may continue its focus on improving taxpayer services, with increased focus on the integration of e-services in the filing of returns.

“Going by past trends, the government will continue with its objectives of ‘ease of doing business’ and simplification of tax laws. Thus, it is expected that the tax provisions will be simplified and the administrative bottlenecks will be removed,” says Deloitte’s Raote.

One initiative of note in this regard is the modernisation of the Annual Information Statement (AIS) to allow taxpayers to share feedback and help verify data before filing returns.

The expectations are many. Given the new government’s emphasis on boosting consumption, those expectations may be fulfilled to some extent in the Budget. **BT**

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